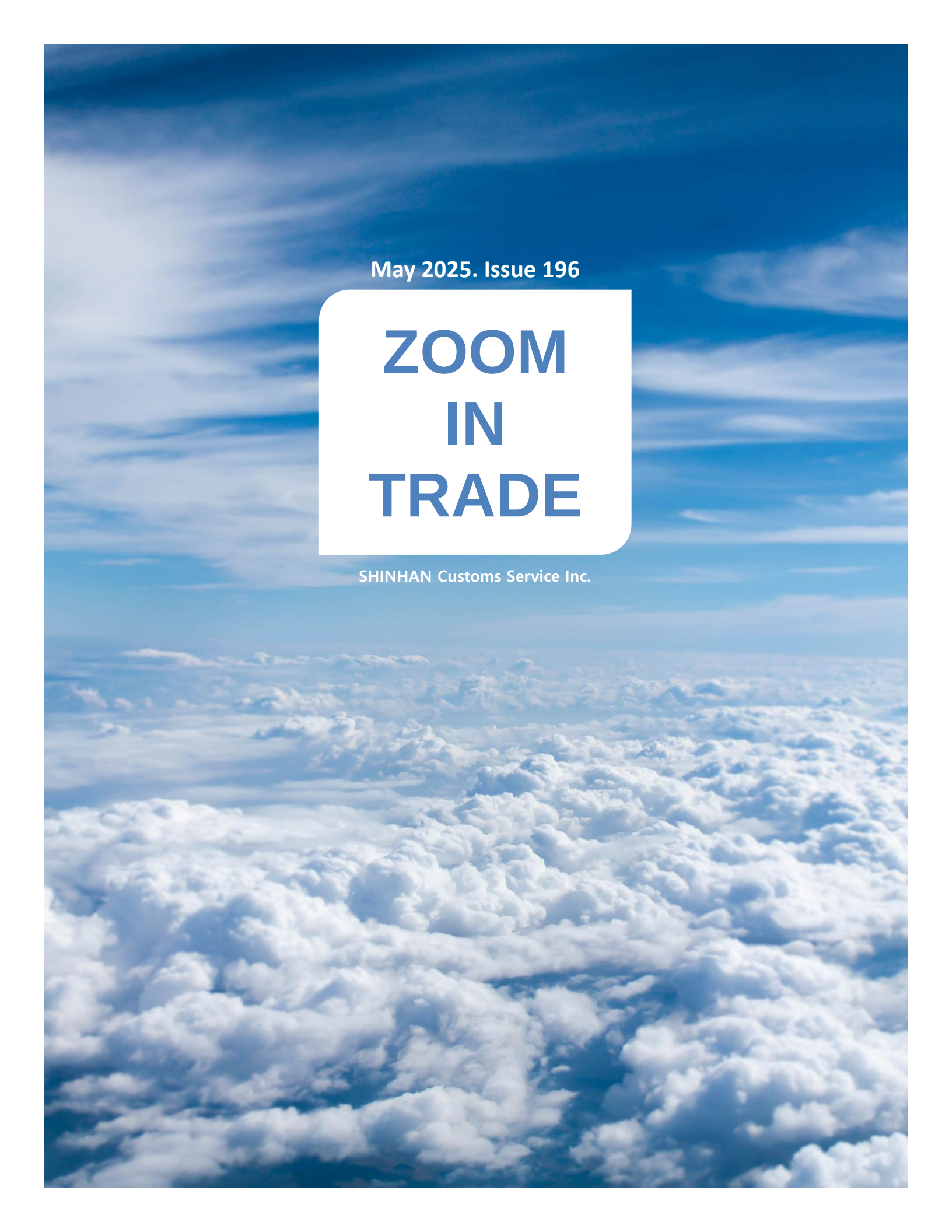




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Good Influence

Grace Chang

CEO/Customs consultant

“
How about ‘Say a kind word to one
person today!’
‘Quit social media that causes conflict?’
”



*“If someone can ease one pain because of me, if this world becomes just a little bit better because of my presence, then I wouldn’t have lived in vain...”**

There was a person who was called ‘a person who saved people through literature.’ Professor Jang Young-hee was paralyzed from the waist down due to polio when she was just one year old. She had to spend most of her childhood in hospitals and rehabilitation treatment, and had to rely on a wheelchair and crutches for her entire life. Nevertheless, *she said that her own suffering was not an obstacle to life, but rather a backing that gave depth. She lived a life of hope and gratitude while dreaming of living a life that alleviates the suffering of others.* She studied abroad in the United States with a first-degree disability and received a doctorate. After returning to Korea, she actively worked as a lecturer and author at her alma mater, Sogang University. She was diagnosed with cancer and had suffered, but even as she faced death, she said, “My life was already beautiful enough.”

Ideal and Reality for this month is ‘Is it possible to activate the pre-adjustment system for tariff and national tax prices?’, Analysis on Recent Customs Judicial Precedent covers ‘Jeonju District Court 2018. 2. 14. Sentence 2016 Guhap 1766 Summary of Judgment [Case Name: Cancellation of Customs Imposition]’, and HS case solved by logic reports ‘Notice of change in item classification for elevator belts’, Global Customs Insight is ‘Reciprocal Tariff implemented in the U.S. from April 5’ and FTA and import/export practical business guide is

'Korea Customs Service plans to crack down on exports disguised as domestically produced products', Contents and Opinion of Customs Trade amendment Covers '[Notice on Refund Following Reduction of Individual Automobile Consumption Tax]'

Pope Francis, who inspired many with his compassion for the socially disadvantaged and his desire for peace during his term of office, passed away last month. One of his last wishes was to convert the Papal vehicle into a mobile clinic for children in Gaza. The Pope, who has worked tirelessly to end the war, was heartbroken by the sacrifice of civilians, especially children. He wished efforts to be continued to end the war and provide relief to vulnerable young victims even after his death.

Rabbit Effect was published in a 1978 paper on rabbit experiments in <Science>. The rabbits were fed high-fat diets and their health was examined. Even though they ate the same food in the same environment, different results were obtained. One group of rabbits have 60 percent less fat in their blood vessels. The variable was that whenever one group of rabbits were fed, they were talked to, petted to, and made to feel loved, thanks to the affectionate researcher.**

The meaning of the word human can be seen as 'A person among people'. From the moment we are born into this world, or even from the process of being created in our mother's womb, or even much earlier, we are all helped and influenced by other people and the environment around us. Just as I did not come into this world on my own, I cannot live in this world alone. This is why I, as a person living among people, cannot live thinking only of myself. This is why I should not live only for myself.

Kindness is amplified and contagious. Kindness attracts people to each other and creates intimacy in human relationships. A caring attitude, a kind word, an effort to recognize and help others in their difficulties... It can keep the wellbeing and save the lives of children on the battlefield, as well as the people around you. It even has a positive effect on plants and animals.

Conflicts also amplify and spread. [Human negativity bias means that bad things have a much stronger impact than good things.](#) We perceive negative events more sensitively than positive events, remember them longer, and react more strongly. This is because primitive humans were

more sensitive to threats to survival than to positive rewards, which was advantageous for their survival. This is because they evolved to quickly detect fear, anxiety, and wariness.*** Negativity bias can spread when initial misunderstandings or conflicts induce emotional reactions in those around them.

We live in the most peaceful and prosperous time in history. However, it goes beyond simple differences of opinion and involves identity and emotions. [High conflict that goes beyond simple differences of opinion and involves identity and emotions spreads rapidly, polarizes society, and foresees a bleak future.](#) There are people who see conflict as an end in itself, rather than a healthy conflict that can lead to progress. They are '[Negativity sellers' who create fake news to their own advantage and create a sense of crisis.](#) They are '[Promoters of conflict' who narrows the public's perspective and demonizes the opponent.](#) They don't try to understand others because they think, 'I'm right and you're wrong.'

Even if you don't agree, shouldn't you have a heart to understand? For me, for you, for our future, it should be [a society where kindness, not conflict, is contagious.](#) We should start '[Reduction of intake of bad things](#)' by [blocking news and social media accounts that only carry negative news](#) as we stay away from junk food for our health. It is said that in order to overcome the human negativity bias, there must be four times as many positive emotions as negative ones.

[Not only Pope Francis, Professor Jang Young-hee, the researcher who fed the rabbit, there are many kind people, people who care for and help others around us.](#) If these positive emotions become more widely known and kindness is transmitted and amplified to more people, wouldn't extreme conflicts disappear and an end to war be achieved someday?

How about 'Say a kind word to one person today!'

'Quit social media that causes conflict' ?

thank you

"Do to others whatever you would like them to do to you. This is the essence of all that is taught in the law and the prophets." (Matthew 7:12)

*Jang, Young-hee. (2010). Flowers rain like a blessing this morning. Seoul: Samteo.

**Kim Ji-soo. (2023.02.15). Great Conversation. Seoul: The Power of Thought.

***Shin Ki-won. (2021.02.01). Negativity bias, 'How to use and overcome it?' Psychology of my life MIND. <http://www.mind-journal.com/news/articleView.html?idxno=1138>





Ideal and Reality

Is it possible to activate the pre-adjustment system for tariff and national tax prices?

- Cooperation measures with national tax authorities when reporting low or high prices, etc.**

I . background

Regarding the renewed interest in activating the pre-adjustment system for tariff and national tax prices, it appears to be a meaningful time just to discuss it from the perspective of customs' tariff evaluation research and companies' import price determination.



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In transactions between related parties, companies are puzzled about the import price being denied in tariff and national taxes. Companies spend a lot of money and manpower to prove the customs duties aspect and the national tax aspect, but there is still no clear neutral solution in sight, and they sometimes pay additional taxes or have their prices rejected on both sides.

In terms of domestic taxes, the appropriateness of transfer pricing can be judged and prepared in advance through the preparation of individual company reports, but in customs, such a routine device is not in place. Although there are some shortcomings and unreasonable aspects at the moment, a drastic system like Korea's ACVA must be created.

We would like to discuss why the pre-adjustment system between tax authorities is not implemented and has become useless. What are the ways to activate it?

II. The reason why the customs, national tax, and taxable price pre-adjustment system is becoming useless

– There is a system that allows you to apply for ACVA and APA simultaneously under Article 37-2 of the Customs Act and Article 14 (1) of the International Tax Adjustment Act. However, there are very few cases where applications are made simultaneously. The system in which the Korea Customs Service and the National Tax Service adjusts the taxable value in advance has hardly been implemented since the enforcement of the law in 2015, so it is considered to be nullified.

The fact that a pre-review application is not being made simultaneously is a problem due to the difference in time for each review, but companies seem to believe that conducting ACVA after APA is a realistically better solution.

division	ACVA	Unilateral APA	Two-way APA
Processing period	16 months	21 months	31 months

Therefore, it is judged that there are many difficulties in aiming to simultaneously pre-adjust ACVA and APA between customs duties and national taxes, and it is

judged to be not feasible unless the taxpayer applies.

division	ACVA			WHAT		
Until 2023	application	decision	progress	application	decision	progress
Number of companies	233	148	48	912	666	246

However, it is clearly necessary to create an environment so that taxpayers can apply at the same time. Rather than preparing procedures in detail, it seems that the National Tax Service has no acceptable solution at all because the detailed method of evaluating transaction prices between related parties in customs valuation is unclear in regulations.

So far, customs valuation has not provided detailed regulations on matters that can recognize transaction prices between related parties for the following reasons. There are only abstract and comprehensive regulations. Through the transaction situation review method, it is only established that special relationships do not affect the price and that only those that comply with the comparative price are determined.

The 'GATT Valuation Agreement' does not specify in detail the information used to determine that the special relationship did not affect the price of the goods to be exported.. Once again, in recognition of the flexibility required in the current reality of international trading, but at the same time the need to operate the 'GATT Valuation Agreement' in an effective and efficient manner, **there can be no really strong and effective regulations** for determining whether special relationships between sellers and buyers have affected the price of imported goods.

Subject to the provisions of Article 1.2 of the 'GATT Valuation Agreement' being applied, the relevant transaction price becomes the customs value. For the purposes of Article 1.2, acceptance of the transaction price is possible if:

- (a) the circumstances surrounding the sale have been investigated and it has been determined that the related party did not affect the price 'actually paid or payable' for the goods; or
- (b) If the importer of the goods proves that the transaction price of the goods meets one of the requirements ("comparison" price) specified in Article 1.2 (b) of the GATT Valuation Agreement.

To solve these difficulties, OECD and WCO jointly published GUIDE TO CUSTOMS AND TRANSFER PRICING in 2018. However, the country needs to set meaningful regulations, but it has not reached that stage, so it needs to be looked into.

III. Which should take priority: APA or ACVA application?

APA is conducted first, and ACVA is usually conducted next. Of course, there are cases where only ACVA or APA is conducted. Once the price is determined, APA is directly related to the company's corporate tax, and ACVA only affects what actually affects tariffs, so I think the applicant should decide on the big things first and then confirm the details of the import price.

APA only requires the profit margin to be determined based on a relatively single standard, so although the analysis process is complicated, it is only necessary to create a single "rule." However, ACVA requires a detailed review of the appropriateness of the price of each product and recognition by customs authorities, so it seems difficult to create multiple rules in advance.

As previously seen in the GATT agreement, in customs valuation, the transaction price between related parties is not determined by customs, but rather the customs determines whether or not to recognize what the company has determined. Therefore, the valuation regulations are difficult to comply with the law due to ambiguous and outdated customs regulations.

Although these matters are being significantly improved through economic and accounting analysis of individual products, much of this analysis is determined by the arm's length price determination method according to the OECD Transfer Pricing Guidelines, and the price is not determined by the method set by the customs valuation method.

This point makes it difficult for the APA to immediately accept the ACVA decision, and it is difficult to make pre-adjustments between the two tax authorities. In short, there are no exactly fitting rules.

To a large extent, the outline of the comprehensive import price is determined by the OECD Transfer Pricing Guidelines and the provisions of the International Tax Adjustment Act, and the company determines the price determination method for each individual product in detail. However, customs judges the appropriateness of the ACVA decision or tax price at the level of capturing and supplementing the irrationality of the individual pricing method determined by the company based on the comprehensive regulations without actually strong and effective provisions of the Customs Valuation Agreement.

Post-examination of pricing decisions in transactions between related parties also begins with reviewing the company's pricing method, but there are no detailed regulations for recognition and only comprehensive standards are presented. Only the transaction situation review method and the extremely

limited comparative price method are used to determine whether special relationships are affected.

IV. The invalidation of a pre-adjustment system between customs and national tax authorities is due to unclear regulations on customs valuation.

1. The comparative price method (within 110%) of Article 1.2 (B) of the Customs Act and the WTO Customs Valuation Agreement can hardly be used, and uncertainty increases due to the transaction situation review method of Article 1.2 (A)..

Annex I of the WTO Customs Valuation Agreement is a guideline for the transaction status review method and is insufficient to define actual compliance methods. Restricted to limited cases, such as when extremely ideal international prices are announced.

Corporate practitioners are familiar with the arm's length price calculation method of the OECD Transfer Pricing Guidelines, but do not know much about potential legal liability regarding the influence of special relationships on the customs side on the price. Due to the lack of practical methodological guidance from customs law and customs, multinational companies sometimes misunderstand that compliance with the OECD Transfer Pricing Guidelines is an alternative to customs duty price determination. There is a lack of published tariff guidelines for transactions between related parties, and the provisions of the Customs Valuation Notification (cases where special relationships are considered not to have had an impact) do not provide sufficient regulations, confusing corporate transfer pricing managers. We are aware of the limitation that there cannot be real and strong regulations in the GATT Valuation Agreement, but is it really impossible?

2. Activity-oriented review of the influence of special relationships amplifies uncertainty.

Annex I of the WTO Customs Valuation Agreement provides for guidance on how buyers and sellers organize commercial relationships and how prices are determined. **Transactional aspects, including activity-oriented matters, must be reviewed.** It is not helpful in clarifying what is objectively needed.

Activity-based reviews are conducted with greater subjectivity and uncertainty than any cost and benefit case study or typical pricing practice. In determining whether a special relationship affected the transaction price, the scope of customs' discretion is too wide and it relies on the examiner's arbitrary judgment, so it is judged to be almost impossible in the current situation for ACVA and APA to activate the pre-adjustment system simultaneously. If the Korea Customs Service and the National Tax Service reach an agreement and do not have clear regulations or practical processes in place, they may feel burdened by responsibility if the amount of tax to be collected is reduced compared to if they had done it on their own. (They may be afraid of audit, so they are likely to show a passive attitude)

In practice, in customs valuation, evidence of negotiation or agreement in transactions between related parties is insufficient to prove that the transaction price was determined within the normal range, and even if ACVA was done based on this, it is difficult to present based on the regulations that the result is reasonable when determining APA to the internal tax authorities.

(In a transaction between related parties, it is difficult to negotiate or agree because the seller and the buyer are one in the first place, but it is unrealistic to use this as the basis for recognition. Companies will try to connect and reap maximum profits, and of course there are cases where this is not the case, but it is necessary to properly handle taxes in each country, but these considerations are not dealt with in depth by the Korea Customs Service or the National Tax Service.)

3. Difficulty proving that special relationships did not affect the price

Proving a negative or non-existent fact is more difficult than proving a positive or substantive fact. Such certification must be made under legal standards without realistic standards, which poses a legal risk to the importer. The notes to Annex I of the WTO Customs Valuation Agreement and the Transaction Status Review Act of Article 23 (2) of the Enforcement Decree of the Customs Act are nothing more than an abstraction of economic reality and do not provide practical guidance. The fact that the special relationship does not affect the transaction price means that the import price is high, but it cannot be said that it was determined to be not appropriately high so that the import price can be recognized by the APA. Since the taxable price is determined based on incompatible standards, a high price under ACVA cannot be judged to be an appropriate price under APA.

4. Nevertheless, company officials aim to establish a transfer pricing policy that is acceptable to both customs and tax authorities.

Customs and tax authorities prohibit excessive influence on transaction prices by the special relationships, but there are concerns about polarization between the two tax authorities. It is understandable that each position is different, but they are not incompatible.

The OECD Transfer Pricing Guidelines and tax law generally provide a more sophisticated approach to measuring normal range outcomes. They compare transaction prices or profits within the normal range in comparable transactions. A manufacturer or distributor that assumes only limited risk is not expected to make the same economic benefits as a complex business or entity that owns a variety of intangible assets or businesses.

To the extent that the transfer pricing approach is limited by regulations on parameters including actual commercial practices, universal economic principles and statistical analysis, this approach will provide a more comprehensive understanding of actual trading situations than the annotations of the WTO Customs Valuation Agreement. The transfer pricing approach is becoming an auxiliary means of resolving the ambiguities of the Transaction Review Act. For that reason, transfer pricing reports or individual company reports are referred to in ACVA or follow-up audits.

V. Activation of the customs and national tax pre-adjustment system begins with actual subdivision of customs valuation regulations.

1. Integration, harmonization, and coordination of customs duties and national taxes depend on customs duties and economic analysis, not transfer pricing law.

It is said that the harmonization of tariffs and domestic taxes is due to differences in their orientations, but in reality, there is greater indifference between them. In particular, domestic taxes do not pay attention to tariffs on individual prices, and customs only refers to parts of individual company reports and is rarely used in customs valuation. There is a difference in the selection of comparative companies in individual company reports from the comparative companies in customs valuation. The differences in the selection of companies to be compared are due to differences in perspectives on tariffs and domestic taxes.

Since there is flexibility in the transaction situation review method at customs, it is necessary to decide whether to accept the economic analysis according to the OECD guidelines.

The OECD Transfer Pricing Guidelines have established the arm's length principle through debate among statisticians, accountants, and economists (of course, there are controversies and weaknesses). However, the WCO and customs authorities have been trying to set the arm's length price for import prices between related parties since 20 years ago, but detailed principles have still not been established and have not been resolved.

If detailed principles were established, wouldn't ACVA and APA be easier to coordinate in advance?

1) For example, from the perspective of profit, profit can be a tax rate in domestic taxes. However, in tariffs, different benefits may be justified if different tariff rates for individual goods result in differences in the price of a particular product. (Customs usually analyzes partial or individual profits and losses at a more microscopic level for customs manipulation, detection or exclusion).

As another example, a transaction that did not yield equivalent benefits should not necessarily be invalidated from a customs perspective. Despite product similarities, there may be sound economic reasons to justify different prices and different profits in various transactions. (Of course, the importer must disclose what it is.)

2. WCO and customs authorities should adopt an alternative to the Transaction Review Act.

This approach will allow comprehensive economic analysis (e.g., for comparability assessment) to select a method reasonable for customs recognition among the methods set forth in the OECD guidelines and tax law and establish regulations that explicitly recognize it.

Although it is widely accepted in practice, it is necessary to publicize cases where special relationships in customs valuation that can be recognized externally as examples for matters that are not regulated have not affected the price so that companies can utilize them.

It is necessary to specify in detail how to reflect other important elements of economic comparability such as corporate functions, assets, risks, and market conditions, but it is still not clearly defined. (Comparative price is recognized when it is within 110%, but it can only be applied when there is an identical transaction with a third party, so the scope of use is limited. In the calculation price method, the profit and general ratio can be used from 110% to 120% by 2023, but for individual items, it is not determined what the acceptable range of comparative transactions and sales profit ratio is. Usually, it is recognized when it is within 110%.)

In a situation where the standards for recognition of transaction price in transactions between related parties are not clear, it is judged that it will be difficult to activate the pre-adjustment system for customs duties and domestic taxes.

3. There is a solution if there is the principle of collecting optimal taxes from both the perspective of customs duties and national taxes.

In international transactions of multinational companies, a country's customs and tax authorities may give preferential treatment to companies that pay as much tax as possible, excluding the company's pricing strategy for other economic purposes (market penetration, monopoly, market dominance).

Tax collection agencies' priority is to collect as much tax as possible from multinational companies in their own countries, and after that, dumping and profit evasion are matters to be considered as a secondary matter.

From that perspective, if the customs and national tax authorities determine that the overall tax revenue is low when collecting according to the legal standards of the Customs Act and the Internal Revenue Code themselves, adjustment through appropriate agreement is necessary. If it is determined that there is a deficiency in the overall national tax in the simulation of taxes when reporting low and high values, cooperation between tax authorities will be possible. At this time, it is necessary to establish an arbitration committee and working-level personnel (from the customs, National tax and Ministry of Strategy and

Finance department) to implement the taxable price pre-adjustment system in the Ministry of Strategy and Finance.

Comparison of the prices and profit perspectives of comparable companies ultimately starts from the question of how the overall tax revenue of the country is damaged in matters related to customs duties and tax collection by the national tax authorities, and the possibility of cooperation emerges. There is no need for coordination or harmonization to occur in all related party transactions. This is because the customs system and the national tax system are fundamentally different in detail.

4. Because it is difficult to establish detailed regulations for recognizing transaction prices between related parties in customs valuation, it is necessary to relieve companies' anxiety by announcing several example regulations.

There may not be strong and effective regulations to determine whether a special relationship between a seller and a buyer has affected the price of imported goods for the need to operate the 'GATT Valuation Agreement' in an effective and efficient manner, provisions are made for determining whether a special relationship between a seller and a buyer has affected the price of imported goods. **But if there are many examples, ACVA and APA may be able to make preliminary adjustments.**

If you think about the example, you could make it like this.

1) Tariff assessment continues to be conducted on items with an applied duty rate (MFN, FTA agreement tariff rate) of 0%. It is the responsibility of the National Tax Service to determine that profits are low because the price is high, and the Korea Customs Service cannot determine that the import price is low because there are no tariffs. (Of course, the U.S. Department of Commerce and USTR have the function of imposing countervailing or dumping duties even when the tariff is 0% as reported by the company, and reasonable care does not consider the tariff rate.)

In Korea, customs assessment on items with a tariff rate of 0% is generally difficult to justify in customs assessment without tariffs as it is an administration for imposing additional tax because import value-added tax is deducted from input. This is an area where the Korea Customs Service and the National Tax Service can make pre-adjustments as to whether post-examination should be conducted starting with items with a 0% tariff rate.

- If an importer imports a product with the same ingredients at a high price for a branded product and a low price for a generic product, the generic product will be sold at a price that is competitive with other generic manufacturers, and if a lower profit is made, the lower price than the branded product can be recognized as the transaction price.

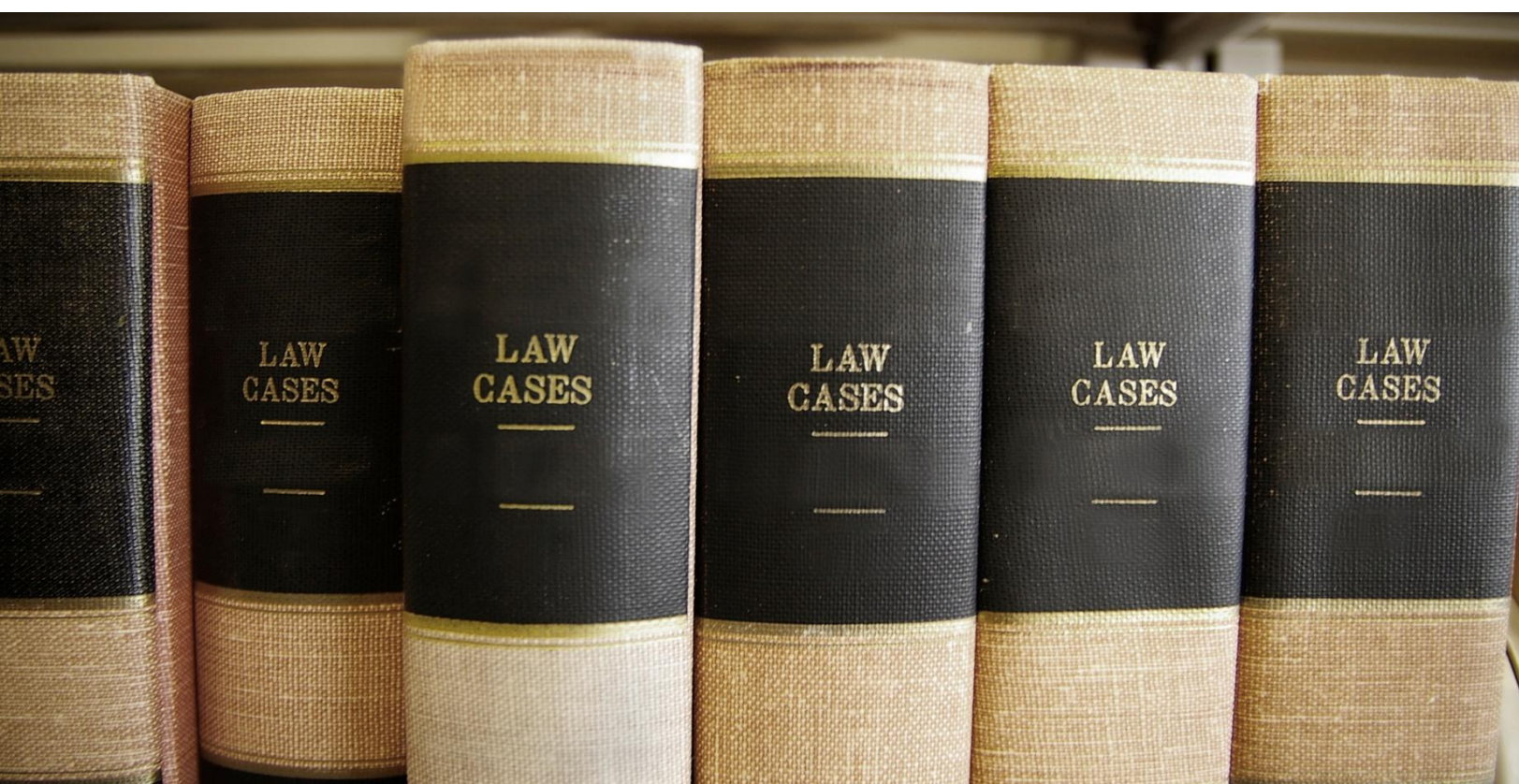
- A company that imports medical products compares its profit margins with similar companies in the industry through transfer pricing research, and compares the profit margins of products similar to those sold and if it is within a certain range, it can be recognized as a transaction price. (HQ H037375)
- If a previously documented transfer pricing policy has been prepared, the price has been determined, and the policy includes an objective FORMULA, the transaction price can be recognized. Detailed recognition conditions include the existence of a transfer pricing policy documented prior to import, drafting taking into account the OECD Transfer Pricing Guidelines, performing tax returns in accordance with the policy, and reporting adjustments in accordance with the policy. The policy specifies prices and price adjustment methods for covered items, maintains accounting data, and provides financial information to support the claimed adjustments. Additionally, there should be no other conditions that could affect price acceptability. (HQ W548314 2012.5.16)

VI. Possibility of cooperation between tax authorities for reporting high and low values

- You may think that an agreement cannot be found because the fact that there is no special relationship influence in customs does not allow the price to be accepted in domestic taxes because of the difference between the Customs Act and the Internal Tax Act, but in practice, it is clearly possible to reach an agreement.
- If a high price is declared, the profit lacks, and if a low price is declared, the tariffs lack. However, as seen above, if dumping and subsidies are not a problem, the possibility of cooperation between tax authorities can be found by calculating from the tax perspective of the entire country.

VI. Let's consider the following:

1. Is it possible to activate the customs and domestic tax pre-adjustment system while it has been invalidated?
2. Is there anything that can be stipulated in detail regarding the influence of special relationships in customs duties?
3. Is there anything in the economic analysis of the OECD Transfer Pricing Guidelines that can be accepted in customs duties?
4. Can cases where special relationships did not affect the transaction price be studied and announced in detail?
5. Is it possible to reach an agreement between the two tax authorities only if detailed standards are established for customs valuation?
6. Can the similarities between customs valuation and transfer pricing tax systems be found?



Analysis on Recent Customs Judicial Precedent

Among the punishment provisions of Article 269, Paragraph 2, Subparagraph 1 of the Customs Act, the meaning of 'a person who imported goods without reporting to the head of the customs office' and matters to be considered when determining whether that person is an actual importer.

Supreme Court 2023Do1907 (Decision date: 2025-02-13)

[Judgment]

Among the punishment provisions of Article 269, Paragraph 2, Item 1 of the Customs Act, the meaning of 'a person who imported goods without reporting to the head of the customs office' (= a person who is involved in the actual customs clearance procedure and in the process took the lead in making decisions regarding smuggling, etc. and actually carried out the act of importing) and matters to be considered when determining whether he or she is an actual importer.



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[Summary of judgment]

Article 241, Paragraph 1 of the Customs Act stipulates, "In order to export, import, or return goods, the name, specifications, quantity, and price of the goods and other matters prescribed by Presidential Decree must be reported to the head of the customs office." Article 269, Paragraph 2, No. 1 (hereinafter referred to as the "Punishment Provision") provides for the punishment of "a person who imported goods without making a declaration in accordance with Article 241, Paragraph 1."

The punishment provision only defines the subject of the act as 'a person who imported goods without reporting to the head of the customs office', and does not limit it to the importer or taxpayer. In addition, since the main purpose of the punishment provision is to ensure the implementation of appropriate customs clearance procedures for imported goods, and securing customs revenue is only a secondary purpose, the target of punishment can be seen as focusing on 'the act of importing itself that is going through the necessary procedures for customs clearance.'

Considering the textual content and legislative intent of the above punishment provisions, it is reasonable to view that 'a person who imported goods without reporting to the head of the customs office' in the punishment provisions does not mean the import consignor or duty payer of the undeclared goods themselves, but rather a person who participated in the actual customs clearance procedures and took the lead in the decision-making regarding smuggling during the process and actually carried out the act of importing. In this case, in determining whether the actual importer is the importer of the goods, all circumstances, including the import process, the method and extent of control or involvement in the actual import or customs clearance procedure or process, and the method of payment of customs duties, must be comprehensively considered.

[Reference Article]

1. Customs Law

- Article 241, Paragraph 1 (Report of export, import or return)

① In order to export, import or return goods, the name, specifications, quantity and price of the goods and other matters prescribed by Presidential Decree must be reported to the head of the customs office.

- Article 269, Paragraph 2, No. 1 (Crime of Smuggling)

② Any person who falls under any of the following items shall be punished by imprisonment for not more than 5 years or by a fine equivalent to not more than 10 times the amount of customs duties or the cost of the goods, whichever is higher.

1. A person who imports goods without reporting in accordance with Article 241 (1) and (2) or Article 244 (1). However, persons who have reported removal pursuant to Article 253 (1) are excluded.

[Order]

The original judgment is overturned and the case is remanded to the Uijeongbu District Court.

[Reason]

Determine the grounds for appeal.

1. Regarding violations of customs laws due to smuggling

A. Summary of the indictment changed in the original trial

From around July 21, 2014, to around August 29, 2015, the defendant purchased 97,333 tattoo supplies (hereinafter collectively referred to as 'smuggled products of this case') worth a total market value of KRW 87,581,408 (total cost of KRW 55,701,775) on four occasions from a non specified company in China as listed in the Crime Schedule 1 (smuggling) in the attachment of the first trial judgment. (referred to as 'smuggled products') were smuggled in without listing them on the customs clearance list or reporting them to customs.

B. judgment of the original court

For the same reasons as the ruling, the lower court ruled that the defendant was guilty of violating Article 241, Paragraph 1 of the Customs Act as the importer of the smuggled goods in this case, and that he imported the smuggled goods in this case in gross negligence even though he was at least vaguely aware that they were goods that had not been reported to customs.

C. Supreme Court decision

However, it is difficult to accept the original judgment as is.

1) Article 241, Paragraph 1 of the Customs Act stipulates, "In order to export, import, or return goods, the name, standard, quantity, and price of the goods, as well as other matters prescribed by Presidential Decree, must be reported to the head of the customs office." Article 269, Paragraph 2, No. 1 (hereinafter referred to as the 'Punishment Provision in this case') provides for punishment of 'a person who imported

goods without making a declaration pursuant to Article 241, Paragraph 1.'

The punishment provision in this case only defines the subject of the act as 'a person who imported goods without reporting to the head of the customs office', and does not limit it to the importer or the duty payer. In addition, since the main purpose of the punishment provision in this case is to ensure the implementation of appropriate customs clearance procedures for imported goods, and securing customs revenue is only a secondary purpose (see Supreme Court decision 2005Do6484, pronounced on December 23, 2005, Supreme Court decision 2019Do11489, pronounced on January 30, 2020, etc.), the target of punishment is 'those who did not go through the necessary procedures for customs clearance. It can be said that the focus is on the 'import act itself'.

Considering the wording and legislative intent of the punishment provisions in this case as described above, it is reasonable to view that among the punishment provisions in this case, 'a person who imported goods without reporting to the head of the customs office' does not mean the importer or duty payer of the undeclared goods themselves, but rather a person who participated in the actual customs clearance procedures and took the lead in the decision-making regarding smuggling during the process and actually carried out the act of importing. In this case, when determining whether the person is the actual importer, all circumstances, including the circumstances of the import of the goods, the method and extent of control or involvement in the actual import or customs clearance procedure or process, and the method of payment of customs duties, must be comprehensively considered.

2) Considering the following facts and circumstances, which can be known from the reasons and records of the original judgment, in light of the above legal principles, it is difficult to conclude that even if the defendant in this case was the importer of smuggled goods, he or she falls under the category of 'a person who imported goods without reporting to the head of the customs office' as defined in the punishment provisions of this case.

A) The defendant, who runs '○○○', a business that imports and sells various tattoo supplies in Korea, asked persons outside the indictment who runs a purchasing agency '△△△' to purchase the contraband goods and other tattoo supplies from a Chinese seller. The persons other than those indicted purchased the above products from the seller in China, brought them into Korea and delivered to the defendant.

b) In the process of bringing into Korea the products purchased in China, persons other than those indicted filed an import declaration listing '□□□', a company unrelated to the defendant, as the importer. At this time, they went through customs clearance procedures only for some of the total imported items. In the process, it appears that the smuggled goods in this case were brought into the country without

going through the proper customs clearance procedures.

c) It is difficult to find circumstances that indicate that there was a specific agreement or agreement between the defendant and a person outside the indictment who was requested to act as a purchasing agent regarding customs clearance or import declaration of the smuggled goods in this case, or that the defendant was specifically aware of the procedure or process of bringing the smuggled goods into the country by a person outside the indictment, etc. and was substantially involved in them.

d) The persons outside the indictment, etc., who were requested to act as purchasing agents, charged the defendant with costs related to the purchase and delivery of the smuggled goods in this case, and the defendant appears to have paid the corresponding costs to the persons outside the indictment in accordance with the request. However, it is not clear whether the cost corresponding to the 'tariff' for the smuggled goods in this case is not included at all in the costs.

3) Therefore, even if the original trial judged that the defendant was in the position of an import consignor, etc., it comprehensively considered the contents of the agreement between the defendant and the purchasing agency regarding customs clearance procedures or import declarations for smuggled products in this case, the defendant's payment details to the purchasing agency, the method of paying customs duties on the smuggled products in this case, the role actually played by the purchasing agency and whether the defendant instructed or participated in this, and the specific import process of the smuggled products in this case, etc. It should have been examined more closely whether the person was actually involved in the process or took the lead in the decision-making regarding whether or not to smuggle in the products, thereby actually carrying out the act of importing. Nevertheless, without properly examining these matters, the lower court's decision, which found the defendant guilty pursuant to the punishment provisions in this case only for the same reasons as in the judgment, had the error of misunderstanding the legal principles regarding 'a person who imported goods without reporting to the head of the customs office' under Article 269, Paragraph 2, Item 1 of the Customs Act, and failing to conduct the necessary hearing, which influenced the rest of the judgment.

2. Regarding the remaining grounds for appeal

For the same reasons as the ruling, the lower court found the defendant guilty of violating the Customs Act and the Medical Device Act related to the puncture needle among the indictments in this case. When

examining the reasons for the original trial's decision in light of the relevant legal principles and legally adopted evidence, there is no error in the original trial's judgment that violated the rules of logic and experience and exceeded the limits of free deliberation.

3. Scope of overturn

For the above reasons, the portion of the original trial judgment that the defendant violated customs laws due to smuggling should be overturned. However, since this part is a concurrent crime under the first part of Article 37 of the Criminal Act with the remaining parts recognized as guilty by the original trial, a single sentence was pronounced, so the entire original judgment is subject to be overturned.

4. Conclusion

Therefore, we overturn the original judgment, remand the case back to the original court for retrial and judgment, and make the ruling as ordered by the unanimous opinion of the participating Supreme Court Justices.



HS case solved by logic

Notice of change in item classification for elevator belts

1. Outline

If you want to know the tariff rate that will be applied to the product you wish to import, you must first check the HS CODE of the imported product through item classification. To check the HS CODE of a specific product, you can apply for a preliminary review of item classification at the Customs Evaluation and Classification Agency, an organization under the Korea Customs Service. Since this is subject to an authoritative interpretation by a national agency, it can be a way to eliminate customs risks due to item classification errors in advance. However, there are cases where the past officially determined item classifications are changed due to revisions to regulations or Supreme Court rulings, and such changes are notified by the Commissioner of the Korea Customs Service as the "Notice on Changes in Item Classification for Import and Export Goods, etc." In this regard, we would like to introduce a case of notification of change in item classification for elevator belts.



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2. Item classification case

1) Issue HS CODE

HS CODE	Heading 3926.90-1000	Heading 7312.10-2099
Applicable tax rate	WTO agreed tax rate 6.5%	WTO agreed tax rate 0%
term of heading	(Plastic) Parts for machinery	(Steel) Other stranded wire, rope, cable
Customs head confirmation	Not applicable	Not applicable

2) Description of the item at issue

(1) Product name

Other article of plastic for use in machinery; Flat belt(CSB Belt) 32KN; GERMANY

(2) Product description

It is a flat belt for elevators with a "V" shaped groove cut in the longitudinal direction on one side of the belt made of polyurethane, with steel cords (diameter of approximately 1.6 mm, 12 pieces) inserted in the longitudinal direction [approximately 30 mm wide × approximately 3 mm thick].

(3) use

Flat belt type, Flat belt for elevators

3) Customs Decisions

(1) First decided tariff heading: heading 3926.90-1000

(2) Reason for initial decision

In Tariff Schedule heading 3926, "other products made of plastics and other articles of headings 3901 to 3914" are classified.

- According to the HS commentary for the same heading, "This heading includes (7) power transmission, conveyor or elevator belts that are endless, cut to a specific length and joined end-to-end, or with fasteners attached. Power transmission, conveyor or elevator belts and beltings (whether or not embedded in the actual machine or mechanism) presented together with machines or instruments are classified together with the machines or instruments (e.g. Part 16)."

- According to the General Explanation of Chapter 39 of the HS Explanation, "Plates, sheets, etc., obtained through a single or continuous operation by combining materials other than textiles with plastic (a) plastics with reinforcing materials or support nets made of other materials (metal wire, glass fiber, etc.) inserted, are classified in this chapter if they have the essential characteristics of plastic products."
- Note 1 (a) of Part 16 of the same table stipulates that "This Part excludes belts and beltings for transmissions and conveyors made of plastic (Chapter 39)."
- According to HS Explanation heading 8431, "Parts dedicated or mainly used in other hoisting, handling, loading and unloading machinery (e.g. lifts, escalators, conveyors, teleferics) of heading 8428 also exclude (a) belts or beltings for power transmission or conveyors, made of plastic (Chapter 39)."
- Among the driving methods of elevators, the flat belt type differs from the wire rope type by installing a belt rather than a rope on the motor connected to the sheave of the traction machine, improving performance (weight, traction, lifespan, etc.). When complying with the alternative inspection standards for special structure elevators according to the revision of the 「Elevator Inspection Standard」 (Elevator Safety Division of the Ministry of Safety and Public Administration, in October 2014), this product has the essential characteristics of a plastic product considering that flat belt suspension type elevators are subject to additional replacement tests for flat belts,.
- Therefore, this product is a flat belt for elevators made of plastic with steel cords inserted between plastics (polyurethane) and is used as parts for use in machinery, so it is classified under heading 3926.90-1000 in accordance with General Rules No. 1, No. 3 B and No. 6 on the interpretation of the Tariff Schedule.

(3) Notification of change in item classification (Korea Customs Service Notice No. 2025-15)

This product is an elevator belt that combines plastic and steel rope, and has the essential characteristics of steel rope. Classified under heading **7312.10-2099** (Decisions made by the 1st Tariff Classification Committee in 2025)

3. Comments on the decision

The product in this case mentions the material plastic in the product name, and the appearance of the product appears to contain a fairly high proportion of plastic, but in the end, it was determined that its essence lies in the steel rope inserted inside the plastic.

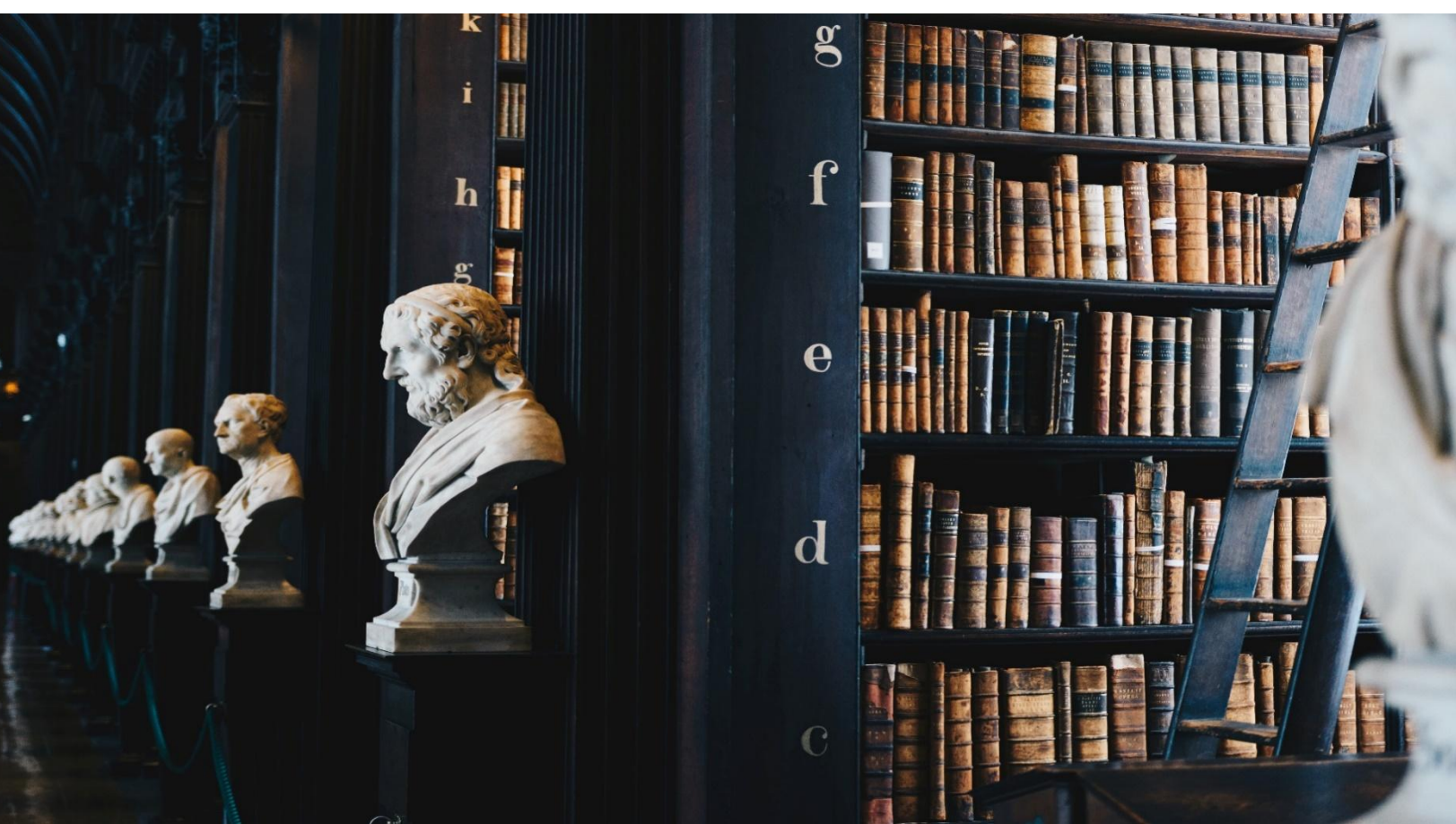
The background to this judgment appears to be that the flat belt for elevators matches the description in the commentary for heading 7312. Flat belts for elevators are usually made of polyurethane on the outside and are made of several bundles of steel wires on the inside. According to the explanation of heading

7312, heading 7312 classifies stranded wires obtained by twisting two or more solid wires together, and ropes and cables of various sizes made by twisting these strands together. Ropes and cables covered with textile fibers, plastics, etc. are also classified under heading 7312 if they are manufactured from wires essentially made of steel.

Headings 3926.90-1000 and 7312.10-2099 have different WTO agreement tariff rates of 6.5% and 0%, respectively, so importers who imported the relevant products are expected to receive a refund of the amount due to the difference in tariff rates and additional tariff refund.

As in this case, even if the HS CODE of the product has already been determined, the HS CODE can be changed if a more precise basis for classification is provided. Accurate item classification requires a deep understanding of the relevant industry, products, and tariff schedule regulations. It can be said that this is a point where cooperation between the company's representative and the customs broker is necessary.

When conducting a preliminary review of item classification at the Korea Customs Valuation and Classification Service, the direction of item classification review may vary depending on the contents of the applicant's opinion. If you request a customs broker who is familiar with the imported goods and tariff rate schedule to apply for a preliminary review of item classification, the accuracy of item classification can be improved based on a written opinion containing professional content.



Global Customs Insight

Reduction and Restructuring of Government Organizations, Customs, and Administrative Organizations in Vietnam

Year 2025 seems to be a time when many changes and attempts are being made in Vietnam. We would like to inform you of the details related to the reduction/consolidation of Vietnamese government organizations and administrative divisions, which have been announced and implemented by the Vietnamese government and National Assembly since the beginning of the year.



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1. Restructuring of government organization in Vietnam

- In accordance with Prime Minister Pham Minh Chinh's Decisions No. 176/2025/QH15 and No. 177/2025/QH15, approved on February 18, 2025, and the resolution of the National Assembly of Vietnam, the Vietnamese government announced a government structure that reorganized existing government ministries.

- This unification of the Vietnamese government was carried out with the purpose of building a more elite, streamlined, powerful and efficient government organization under the instructions of General Secretary Tô Lâm, who became the new Secretary General of the Communist Party of Vietnam in 2024.

As a result, a total of 30 current ministries and agencies, including 18 ministries, 4 ministry-level agencies, and 8 other government agencies was reduced and reorganized to a total of 21 ministries and agencies, including 14 ministries, 3 ministry-level agencies, and 5 other government agencies.

- This government organization reduction plan is evaluated as the largest government organization restructuring since Vietnam announced the 'Doi Moi' (reform) policy in 1986 and began reform and opening. There are speculations that this reorganization will reduce the size of Vietnam's government organizations and civil servants by about 20%.

** The table above was created based on the agreement between the Korean Chamber of Commerce in Vietnam (KOCHAM), the Embassy of the Republic of Korea in Vietnam, KOTRA, etc. for the Korean names to be used in the future regarding the newly reorganized names of Vietnamese administrative agencies.

2. Reduction and reorganization of the General Administration of Customs of Vietnam

- On February 26, 2025, the Ministry of Finance of Vietnam issued Decision No. 382/QĐ-BTC on the functions, tasks, powers and organizational structure of the Customs Department (Cục Hải quan; Customs Department).

- The existing General Department of Customs (Tổng cục Hải quan) will be converted into the Customs Department (Cục Hải quan) and 20 regional customs

offices (Chi cục Hải quan). The customs organization will be operated in three levels as follows.

1. Central organization (12 departments) - administrative department, legal department, human resource department, inspection control department, etc.
2. Regional organization (20 regional customs offices) - Regional customs offices are composed of 20 customs offices (Chi cục Hải quan).
3. Border Customs / Inland Customs - Border Customs and Inland Customs are Regional Customs Branches.
 - The Director of the Customs Bureau is responsible for newly organizing and reorganizing the unit that belongs to the customs and 12 departments under the Customs Bureau, and must implement this decision within 3 months from the effective date.
 - Vietnam's customs organization is expected to be significantly slimmed down as the General Department of Customs under the Ministry of Finance (MOF) of Vietnam is reorganized and reduced to the Department of Customs as of March 1, 2025. In particular, local customs offices similar to Korea's headquarters customs office were **consolidated from 36 to 20** and the related organization (subordinate organization) reorganization work is scheduled to continue until June of this year.

3. Reduction and reorganization of local administrative districts in Vietnam

- At the 11th plenary session held from April 10 to 12, 2025, the Central Committee agreed on proposals to continue to reorganize the organizational structure of the political system, realign administrative units, and organize local administration at the local and community levels, and reached a broad agreement on the reorganization of administrative districts, etc.

- Accordingly

à A total of 63 current metropolitan administrative districts, including 57 provinces and 6 municipalities directly under the central government will be merged to a total of 34 provinces, including 28 provinces and 6 municipalities.

Currently, the three-level administrative district system will be reorganized into metropolitan and basic two levels, middle-level administrative districts equivalent to counties or districts in Korea will be abolished, and basic administrative units will also be merged, so the total number is expected to decrease to 30-40% of the current level.

- In addition, it has been decided to integrate and simplify the committees of the Vietnam Homeland Front, the vanguard organization of the Communist Party, and various social and political organizations and associations. Accordingly, the civil service union and military union are expected to be disbanded.

- In relation to the reduction and dissolution of this administrative unit, a revision of the law is required,

and it is scheduled to proceed until the National Assembly revises the Constitution in 2013 and the Act on Local Government Organization in 2025.

So far, as we enter 2025, we have looked at the reorganization of government ministries/administrative units underway in Vietnam. Currently, due to this reorganization, many front-line government ministries and customs organizations are still in the process of being reorganized, so processing of government-related civil complaints, administrative processing, and customs processing in Vietnam is delayed compared to other times, or processing deadlines are difficult to predict.

According to the government's announcement, the reorganization is scheduled to be completed in the first half of 2025 (until June). Until then, we advise you to anticipate and prepare for the possibility that there may be actual delays in processing or progressing any government-related work in Vietnam before proceeding with business activities.

If you have any questions or need assistance regarding customs clearance, tariffs, trade, etc. in Vietnam, feel free to contact us at any time. thank you

Source:

** Korea Chamber of Commerce in Vietnam Kocham KakaoTalk News (2025.03.03)

** Decision No. 382/QD-BTC (February 26, 2025)

** Yonhap News: Vietnam significantly consolidates administrative districts... From 63 metropolitan areas to 34, Reporter Park Jin-hyung (2025-04-13)

** VN ECONOMY : The 11th plenum of the Party Central Committee concludes (April 12, 2025)



FTA and import/export practical business guide

Korea Customs Service plans to crack down on exports disguised as domestically produced products

In order to actively respond to the US tariff policy and protect domestic industries, the Korea Customs Service recently launched the Trade Security Special Investigation Team (hereinafter referred to as the 'Special Task Force', established at the Korea Customs Service headquarters, and operating eight dedicated investigation teams at customs offices headquarters across the country) and announced that it would launch an all-out crackdown to block bypass exports that exploit the differences in tariff rates imposed by the US by countries .



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This is because if goods from other countries with higher tax rates than Korea pass through Korea and are disguised as domestic products and exported to the United States, etc., there are concerns about a decline in Korea's national trust and damage to the domestic industry. The targets of intensive crackdowns are products subject to high tariffs such as anti-dumping tariffs and reciprocal tariffs in the United States and products subject to import regulations. It is expected that there is a high risk that these products will be disguised as domestically produced through illegal methods such as changing labels and forging documents (falsely filling out export declaration certificates, certificates of origin, etc. as domestic products and submitting them to importing countries (importers) such as the United States) to avoid tariffs and import regulations.

Over the past five years, the Korea Customs Service has detected a total of 176 cases of illegal export activities worth 467.5 billion won.

[Table 1] Status of detection of bypassed export goods disguised as domestically produced by the Korea Customs Service

(Unit: case, KRW 100 million)

year	'21		'22		'23		'24		'25.March		grand total	
division	number of cases	amount	number of cases	amount	number of cases	amount	number of cases	amount	number of cases	amount	number of cases	amount
entire	15	436	48	2408	99	1188	10	348	4	295	176	4,675
USA	3	67	11	831	14	37	4	217	3	285	35	1,437
ratio	20%	15%	23%	35%	14%	3%	40%	62%	75%	97%	20%	31%

The main purpose of the illegal act is found to be the economic purpose such as **① Avoidance of anti-dumping tariffs, ② Avoidance of high tariff rates, ③ Avoidance of import regulations, ④ Premium profits from Korean products, etc.** and the security purpose such as **⑤ Leakage of strategic materials and core technology of exporting countries.**

In the past, there were many cases of exporting products by disguising their country of origin as Korea in order to aim for the premium of Korean products. but with recent changes in the U.S. government's trade policy, there has been a significant increase in the practice of bypassing exports of products through Korea

to avoid reciprocal tariffs and import regulations that differ by country.

In order to support Korean companies this year, the Korea Customs Service has prioritized responding to U.S. tariff policy as its top priority and is intensively cracking down on illegal country-of-origin laundering bypass exports. Recently, it has uncovered many cases of Chinese products being disguised as Korean products via Korea and exported to the United States. Examples are as follows.

- ① **(Anti-dumping tariff avoidance)** In order to evade the anti-dumping tariff (up to 1,731.75%) that the United States is imposing on Chinese mattresses, they used a company established in Korea by a Chinese to bring 1.2 million Chinese mattresses (worth KRW 74 billion) into the company's bonded warehouse and then illegally exported them by falsifying export documents such as return report certificate and certificate of origin as Korean products (November 2024).
- ② **(Avoiding high tariff rates)** In order to avoid high tariffs on Chinese products, a company established in Korea by a Chinese imported Chinese secondary battery cathode materials (tariff 25%, 55.8 tons, KRW 3.3 billion) into Korea, changed the packaging, and then illegally exported them to the U.S., disguising the origin as domestic (January 2025).
- ③ **(Avoiding import regulations)** In order to avoid the U.S. import regulations on Chinese communications and video security equipment, parts such as intelligent CCTVs (190,000 points, KRW 19.3 billion) were imported into Korea from China, assembled, and then disguised as domestic products for illegal export (March 2025).
- ④ **(domestic premium margin)** Importing low-quality aluminum windows and doors from China (273 tons, KRW 2 billion), targeting premiums for domestic products, falsely listing the country of origin as Korea, and illegally exporting them to the U.S. (March 2025)
- ⑤ **(Disguised leak of strategic materials and core technologies)** High-performance semiconductors (36,000 units, worth KRW 5.1 billion) subject to export control in Korea and other countries due to the reason that these can be used for military purposes were imported into Korea using a borrowed-name corporation, and then illegally exported to Hong Kong by disguising them as low-priced semiconductors worth 1% of the actual price (December 2024).

The Korea Customs Service held a civil service meeting at the Seoul Customs Headquarters on April 21 to enable the special task force team to share information on criminal offenses with various agencies for effective crackdown. •A joint public-private meeting to crack down on bypass exports to protect domestic industries was held, attended by all government officials and private sectors, to establish an information

sharing cooperation system. The joint meeting was presided over by Lee Myeong-gu, Deputy Director of the Korea Customs Service, and was held with the participation of domestic and foreign organizations, including the special team, major damaged item associations (Korea Steel Association, Korea Furniture Industry Association, Korea Flat Glass Window Association, Korea Nonferrous Metals Association, Korea Online Shopping Association, Korea Customs and Logistics Association, and Korea Customs Association), the U.S. Homeland Security Investigations (HSI), and the Customs and Border Protection (CBP).

Ko Kwang-hyo, Commissioner of the Korea Customs Service, said, "In response to the recent US tariff policy, the Korea Customs Service launched the 'Special Response Headquarters for US Tariff Policy' on April 2 and is concentrating all administrative capabilities. He also said that the Special Response Headquarter will not only focus on cracking down on country of origin laundering, bypass exports, and technology leak attempts by the Trade Security Special Investigation Team, but also proactively respond to prevent Korean companies from experiencing difficulties by conducting preliminary risk checks, providing information on key strategic items, and providing support to the corporate."

※ Report on bypass export disguised as domestic product: Korea Customs Service Smuggling Report Center* (reward up to KRW 45 million)

*** Telephone report (125 without area code), Internet & mobile report (Korea Customs Service website > Smuggling report > Report)**

(Source) Korea Textile Economy Newspaper



Contents and Opinion of Customs Trade Amendment **Information on Partial Revision of the 「Enforcement Decree of the Customs Act」**

1. Outline

As of February 28, part of the Enforcement Decree of the Customs Act was revised. Below, we will look at the reasons for the revision and its main contents, and discuss our opinions regarding the revision.



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2. Reason for revision

In line with the amendment of the "Customs Act" to include provisions such as providing a basis for registration for e-commerce business operators who wish to omit matters required for customs clearance for e-commerce products or apply in a simplified manner, and adding virtual asset business operators to the institutions for submitting taxation data, establishing registration procedures and methods for e-commerce business operators, etc. who wish to omit matters required for customs clearance or apply in a simplified manner, determining the matters necessary for implementation, such as specifying the scope of taxation data to be submitted by virtual asset business operators, and other matters delegated by law.

The purpose is to improve and supplement some of the deficiencies that appear in the operation of the current system, such as extending the tax return period to determine the dutiable value by applying the results of preliminary review to products traded between people in special relationships, and adding reasons for exceptions to the prohibition of duplicate investigations for those who have undergone customs inspection.

3. Main contents

A. Extension of the application period for the results of preliminary review on the method of determining the customs value of products traded between persons in a special relationship (Article 31 (7) 4 (b)).

Previously, tax returns were required to be filed within three years from the date of notification of the preliminary review results in order to determine the customs value by applying the results of preliminary review on the method of determining the customs value of products traded between persons in a special relationship. However, from now on, tax returns must be filed by the end of the fiscal year that falls three years from the date of notification of the results of the preliminary review.

B. Addition of reasons for exception to the prohibition on duplicate investigation of persons who have undergone customs investigation (Article 136)

In cases where an agency other than the agency in charge of customs duties conducts an investigation to process data prepared or acquired for official purposes and provided to the agency in charge of customs duties, and when a confirmation investigation is conducted to determine a customs duty refund, a duplicate investigation may be conducted on the person who has undergone the customs investigation.

C. Establishment of registration procedures and methods for e-commerce business operators to omit matters required for customs clearance or apply simplified methods (Article 258)

1) Among e-commerce products, products for which customs clearance requirements are omitted or simplified methods can be applied are designated as products for personal use.

2) Anyone who wishes to register to omit the matters required for customs clearance or to apply in a simplified manner must submit an application containing address, name, business name, type of business, business location, and business-related report number to the Commissioner of the Korea Customs Service or the head of the customs office.

D. Specification of taxation data to be submitted by virtual asset business operators (Newly established in Appendix 3, No. 70)

Virtual asset business operators are required to submit data on the virtual asset transaction details of those who are delinquent on customs duties, etc. to the Korea Customs Service on April 30 and October 31 every year.

4. Revision comments

1) Extension of validity period of preliminary review (ACVA) results for determining taxable value of products traded between related parties

By extending the tax return period to the end of the fiscal year that falls three years after the date of notification of the ACVA results, accommodations have been reflected so that returns can be paid and managed on an annual basis.

2) Addition of reasons for exception to prohibition of duplicate investigation

The Customs Act stipulates the prohibition of duplicate investigations, but the following exceptions have

been added: 1) cases where an organization other than the customs office conducts an investigation to process data prepared or acquired for official purposes and provided to the customs office, and 2) cases where a confirmation investigation is conducted to determine a customs duty refund.

3) The regulations on special customs clearance for e-commerce products were revised.

4) The virtual asset transaction details of those with delinquent duties, etc. have been added to the taxation data that can be requested by the Commissioner of the Korea Customs Service.

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